The Fragility of Liquidity: Fund Runs, Fire Sales and Regulatory Intervention in Borsa Istanbul

Ege Umut Can
Independent student working paper, Macroeconomic Data Lab (ege211.github.io/macroeconomic-data-lab)
November 2026 (revised)

Keywords: liquidity mismatch, fund runs, fire sales, margin calls, TEFAS, Borsa Istanbul, macroprudential regulation

ABSTRACT

On 17 September 2026, the Capital Markets Board of Turkey (SPK) halted trading in 131 investment funds run by seven portfolio management companies and ordered them into liquidation. The funds held around 18 billion US dollars and had 455,758 investors. This paper explains the mechanism behind the episode: funds that promised investors their money within one or two days were holding concentrated positions in shares that could not be sold quickly. When redemptions rose, managers sold what they could, prices fell across the market, and margin calls on leveraged investors added more forced selling. I argue that the crisis came from a mismatch between the liquidity a fund promises and the liquidity of what it owns, that each stage of the episode matches a mechanism already described in the research on fund runs and fire sales, and I propose three rules that would reduce that mismatch: minimum liquidity buffers, concentration limits on thinly traded shares and longer notice periods for redemptions.

1. INTRODUCTION

In the years before 2026, retail savings in Turkey moved quickly into investment funds sold through TEFAS, the electronic platform where most Turkish funds are bought and redeemed. Some of these funds reported very high returns. In September 2026 the flow reversed. On 16 September, Tera Portföy said it had missed some payments because of withdrawals from two funds, and Pusula Portföy reported delays as well (Euronews, 2026). The next day the SPK stopped purchases and redemptions in all TEFAS funds of seven companies: Tera, Pusula, Hedef, Atlas, A1 Capital, Pardus and Bulls (Anadolu Agency, 2026). Finance Minister Mehmet Şimşek put the value of the affected funds at 18.3 billion dollars, about 10% of the sector (Turkish Minute, 2026).

What interested me was not only the size of the losses but how ordinary the mechanism was. Nothing in it requires a new financial product. It only requires a fund that lets investors leave faster than it can sell its assets.

2. WHAT EXISTING RESEARCH PREDICTS

Four ideas from the economics literature help explain the episode. Diamond and Dybvig (1983) showed that a bank which promises depositors their money on demand while holding long-term assets can suffer a run even if it is solvent, because each depositor fears that others will withdraw first. They also showed that suspending withdrawals can stop such a run. Chen, Goldstein and Jiang (2010) found the same logic in mutual funds: when the remaining investors bear the cost of others' redemptions, outflows react more strongly to bad performance, and the effect is larger in funds that hold illiquid assets. Coval and Stafford (2007) showed that funds facing large outflows sell the shares they hold at prices below their fundamental value, and that those prices tend to recover once the selling stops. Finally, Brunnermeier and Pedersen (2009) explained how falling prices and tighter margin requirements can feed each other, so that a fall in market liquidity drains funding liquidity and the other way round.

The Turkish case matches all four. The rest of this paper follows the episode stage by stage and asks where it fits these models and where it does not.

3. THE STRUCTURE OF THE FUNDS

Some of the funds involved held large positions in shares with a small free float, meaning that only a small part of the company's shares were available for trading. Moving the price of a large company in the BIST 30 index takes heavy trading volume. Moving the price of a low-float share can take much less. In one case, funds managed by Pusula reached 38.67% of the food company Gündoğdu Gıda, according to a filing on the Public Disclosure Platform (KAP) in August 2026 (Saka, 2026).

When a fund owns a large share of a thinly traded stock, its own purchases can push the price up, and the higher price then raises the fund's reported value. The SPK has said that it saw fund-driven price moves in low-float shares in late 2025 that the companies' fundamentals did not explain, and it has referred several cases to prosecutors (Saka, 2026). In June 2026, the index provider MSCI also warned of "possible coordinated trading" in holdings linked to smaller Turkish listed companies (Euronews, 2026). These are allegations under investigation, not findings of a court. For this paper the important point is narrower: a fund whose value depends on prices it helps create will find that those prices do not hold when it has to sell.

4. THE LIQUIDITY MISMATCH

The core of the episode is a mismatch between what the funds promised and what they owned. Investors redeem through TEFAS, and under the SPK's rules for investment funds (Communiqué III-52.1), equity-intensive open-ended funds must normally pay redemptions within one or two business days. A fund holding liquid shares can meet that promise. A fund holding concentrated positions in low-float shares cannot, because selling a large block would push the price down sharply.

A manager facing heavy redemptions therefore has a bad choice. Selling the illiquid shares would crash their price and the fund's value. Selling the liquid shares first, often large BIST 30 companies, raises cash but spreads the selling to companies that had nothing to do with the original problem. Either way, investors who redeem early are paid at better prices than those who stay. Once investors understand this, they have a reason to leave before others do, which is how a run starts. This is the first-mover advantage that Chen, Goldstein and Jiang (2010) measured in US funds, and the Turkish funds had an unusually strong version of it because their holdings were so illiquid.

5. HOW THE STRESS SPREAD: MARGIN CALLS

Falling prices did not stay inside the funds. They reduced the value of collateral held by investors who had borrowed to buy shares or who held leveraged positions in futures and options on VİOP, the derivatives market of Borsa Istanbul. When collateral falls below the required level, brokers issue margin calls, and positions that are not topped up are closed automatically.

Data from Takasbank show daily margin calls on VİOP of more than 1.14 billion lira on 8 September 2026 and about 1.76 billion lira on 16 September, the day before the SPK intervened (Foreks, 2026). These figures were high but not a record: the peak for the year was about 3.64 billion lira on 21 May 2026 (Dünya, 2026). Even so, automatic liquidations add selling pressure at exactly the moment prices are already falling, which can push prices down further and trigger more margin calls. This is the spiral between market liquidity and funding liquidity described by Brunnermeier and Pedersen (2009). In the first week of the crisis, the Borsa Istanbul All Shares index fell 12%, and about 50 shares lost 40% or more (Euronews, 2026).

6. THE REGULATORY RESPONSE AND THE MORAL HAZARD PROBLEM

The SPK's response came in stages. On 17 September it halted the funds and ordered their liquidation, appointing Ziraat Bankası and İş Bankası to carry it out (Euronews, 2026). It also allowed the minimum equity ratio for margin trading, normally 35%, to be applied flexibly down to 20% until 2 October, which reduced forced selling by leveraged investors (Anadolu Agency, 2026). On 21 September the liquidation period was extended from three to six months, and from 1 October investors could receive interim payments of up to one million lira per investor per fund (Saka, 2026).

These steps were reasonable in the short term, and both have a basis in the research. Halting redemptions is the modern version of the "suspension of convertibility" that Diamond and Dybvig (1983) proposed as a way to stop a run. A longer liquidation period follows from the finding of Coval and Stafford (2007) that prices depressed by forced sales tend to recover, so selling more slowly should leave investors with more of their money. But they also create a moral hazard problem. If managers and investors come to expect the regulator to halt trading, relax margin rules or arrange partial payments whenever a fund fails, they have less reason to avoid the risk in the first place. A manager might keep offering daily liquidity on illiquid assets, expecting that the regulator will step in if the promise cannot be kept.

One detail makes the episode more uncomfortable. The SPK had already tightened the rules before the crisis: it raised the financial-asset threshold for qualified investors from one million to ten million lira in December 2025, changed TEFAS settlement rules on 20 July 2026 and introduced a new valuation rule on 31 July (Saka, 2026). The run came after these changes, not before them. This suggests that rules introduced after a problem has built up can expose it rather than prevent it, and that the timing of regulation matters as much as its content.

7. POLICY PROPOSALS

The proposals below target the mismatch directly.

Minimum liquidity buffers. Funds that offer short redemption periods should hold a minimum share of their assets in cash or highly liquid securities. This would let them meet a first wave of redemptions without selling their illiquid holdings at once.

Concentration limits on low-float shares. Limits on how much of a thinly traded company a fund, or a group of funds under the same manager, can own would reduce both the risk of being unable to sell and the incentive to support prices through the fund's own buying.

Longer notice periods. Funds holding less liquid assets should give investors their money only after a longer notice period, for example seven or fifteen days. This matches the fund's promise to the liquidity of what it holds and removes much of the advantage of leaving first.

The European Union has moved in a similar direction. Under the revised AIFMD and UCITS rules, which member states had to apply from 16 April 2026, open-ended funds must select at least two liquidity management tools from a list set out in the directives (AFM, 2026). Comparing the Turkish case with that framework is the subject of my next piece of work.

8. LIMITATIONS AND NEXT STEPS

This paper relies on public sources: SPK announcements, KAP filings, market data and news reports, many of them written while events were still unfolding. I did not have access to fund-level redemption data or to the trades of individual funds, so I cannot measure how large each channel was. The allegations of price manipulation and fraud are still under investigation, and nothing in this paper should be read as a judgment on any company or person.

A natural next step is to test the mechanism with data. TEFAS publishes daily prices, fund sizes and investor numbers. Comparing the funds that were liquidated with other equity funds in the months before September 2026 would show whether their growth, concentration and outflows looked different, and whether the first-mover pattern found in other countries appears in Turkish data.

REFERENCES

AFM (2026). *New European rules for liquidity management.* Dutch Authority for the Financial Markets, March 2026.

Anadolu Agency (2026). "Turkish regulator orders liquidation of funds managed by 7 portfolio companies." Published by Anews, 17 September 2026.

Brunnermeier, M.K. and Pedersen, L.H. (2009). Market liquidity and funding liquidity. *Review of Financial Studies*, 22(6), pp. 2201-2238.

Capital Markets Board of Turkey (SPK). *Communiqué on Principles Regarding Investment Funds (III-52.1).*

Capital Markets Board of Turkey (SPK) (2026). Weekly Bulletins No. 2026/60 and 2026/61, 17 September 2026.

Chen, Q., Goldstein, I. and Jiang, W. (2010). Payoff complementarities and financial fragility: Evidence from mutual fund outflows. *Journal of Financial Economics*, 97(2), pp. 239-262.

Coval, J. and Stafford, E. (2007). Asset fire sales (and purchases) in equity markets. *Journal of Financial Economics*, 86(2), pp. 479-512.

Diamond, D.W. and Dybvig, P.H. (1983). Bank runs, deposit insurance, and liquidity. *Journal of Political Economy*, 91(3), pp. 401-419.

Dünya (2026). “VİOP teminat tamamlama çağrıları 3,6 milyar TL ile rekor seviyeye ulaştı.”

Euronews (2026). “Turkey arrests Tera chairman as ‘Ponzi-like’ fund probe affects 450,000 investors.” Republished by Yahoo Finance, 23 September 2026.

Foreks (2026). “Yurt içi piyasalarda sert satışlar sonrası VİOB’da teminat tamamlama çağrıları yükseldi.” 17 September 2026.

Saka, E. (2026). “Türkiye’s investment-fund scandal: Tera, Pusula and the September to October 2026 fund crisis.” Erkan’s Field Diary, 6 October 2026. (Used for the timeline of SPK statements and KAP filings.)

Turkish Minute (2026). “Turkey begins $18.3 billion liquidation after fund run.” 18 September 2026.